

down payment) and pay the rest over a period of time, maybe three to five years.

Table 1.1. Financing \$12,000 to buy a used car

Total cost	Down payment	Money borrowed
\$16,000	\$4,000	\$12,000

In this example, you have **financed** (borrowed) \$12,000 to pay for this car. The \$12,000 is called the **principal**, which is the original amount of money loaned. Sadly, it is not free to borrow this money, which makes sense; why would a bank or anyone else just lend you money for free when they could be investing it or using it for themselves? You need to pay interest. Remember, interest is the amount of money you need to pay the lender in addition to the principal (original loan amount).

This is where APR comes in. You have probably heard APR mentioned in advertisements before: “Buy now and receive 0.0% APR for the first 24 months!” **APR** stands for **annual percentage rate**, and it tells you the amount of interest you will be charged annually (per year) on the money you owe toward your principal.

Something you need to be aware of as you read this book is that interest rates change and vary by each individual. When I give examples of interest rates and APRs throughout the book, they are based on the rates in 2020 and may not be the same as whenever you are reading this. Regardless of the rates, interest and APRs still function in the same way.

This chapter is going to highlight the pros and cons of interest, teach you how to use the benefits to your advantage, and explain how to avoid the consequences that can be associated with interest.